DEFENCE | TRADE

THE BOOM IN INDIAN ARMS EXPORTS

FROM BRAHMOS AND ASTRA MISSILES TO COUNTER-DRONE AND COMBAT TRAINING SYSTEMS, THE PRIVATE SECTOR IS POWERING AN UNPRECEDENTED SURGE IN GLOBAL SALES OF INDIAN DEFENCE PRODUCTS

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For decades, it was its reputation for being among the world's largest arms importers that India was known for. That has now begun to change. A rise in defence allocations in the Union budget, a concomitant increase in defence capital expenditure and the opening up of the defence sector to private players fuelled a boom in indigenous manufacturing in the past 10 years. An unanticipated benefit of this success has been a remarkable surge in defence exports.

The numbers tell the story. Defence production reached a record Rs 1.78 lakh crore in FY26, up from Rs 46,429 crore in FY14. According to the Union ministry of defence (MoD), defence exports touched a record Rs 38,424 crore in FY26, up 62.66 per cent from Rs 23,622 crore a year earlier. In FY14, the figure was Rs 686 crore. Indian defence products are now being exported to over 80 countries, while the number of registered defence exporters has risen to 145. The role of the private sector is salutary—while it accounted for about 24 per cent of total defence production in FY26, its share in defence exports was 45.16 per cent.

₹38,424 CRORE

Total value of Indian defence exports for FY26, a 62.6 per cent increase over the previous year and the highest ever recorded

Impressive though all of this sounds, India still doesn't figure among top global arms exporters. Its latest figures are modest compared to the 2025 export figures of seventh-ranked Israel ($19.2 billion or Rs 1.8 lakh crore) and ninth-ranked South Korea ($15.4 billion or Rs 1.5 lakh crore). The numbers for fifth-ranked China, which does not publish annual figures, are even higher. However, the government has now set a target of Rs 50,000 crore in annual defence exports by 2029-30.

Prime Minister Narendra Modi has already got down to work on that